Monetization Methods in Games: A Case Study Of Ludo King

How revenue models differ by genre, audience and platform, and which ones earn the most

1. Introduction

The way a game makes money shapes almost everything about it: how it is designed, who it targets, how long players are expected to stay, and even how it is marketed. A single-player story game and a mobile puzzle game may both be "successful," but they rely on completely different economic logic. This case study looks at the main monetization methods used in the games industry, shows which kinds of games each method suits best, and explains which methods tend to be the most profitable and why.

2. The Main Monetization Methods

2.1 Premium (Pay Once to Buy)

The player pays a one-time price (typically $20 to $70 on PC and console) and gets the full game. Revenue is concentrated at launch and in the weeks after, then supported by sales and discounts over time.

- **Examples:** *Elden Ring*, *The Legend of Zelda: Tears of the Kingdom*, *Baldur's Gate 3*, *Stardew Valley*.
- **Strengths:** Simple and trusted by players. No pressure to design around spending, so designers can focus on a complete experience. Good reputation and word of mouth.
- **Weaknesses:** Revenue is front-loaded and dependent on the game being a hit. High upfront cost deters casual players, and there is little income from a player after the purchase unless there is DLC.
- **Best for:** Story-driven single-player games, tightly designed experiences, indie games with a loyal niche audience, and big-budget "event" releases.

2.2 Free-to-Play with In-App Purchases (F2P / IAP)

The game is free to download. Revenue comes from a minority of players who buy virtual items, currency, boosts or progression. This is the dominant model on mobile.

- **Examples:** *Candy Crush Saga*, *Clash of Clans*, *Genshin Impact*, *Fortnite*, *Roblox*.
- **Strengths:** Zero barrier to entry means a huge player base. Revenue continues for years as long as players stay engaged. Spending is uncapped, so a few highly engaged players can generate outsized income.

- **Weaknesses:** Only a small share of players (often in the low single digits) ever pay. The game must be built around retention and live operations, which is expensive. Risk of backlash and regulatory attention if it feels exploitative.
- **Best for:** Mobile games, multiplayer and social games, strategy and RPG titles with long progression curves, and anything that benefits from a large community.

2.3 Advertising

Players see ads, often through rewarded video (watch an ad for an in-game reward), interstitials (between levels) or banners. The developer earns per impression, click or completed view.

- **Examples:** Hyper-casual titles like *Flappy Bird* and countless Voodoo-style games, plus hybrid casual games like *Subway Surfers* that mix ads and IAP.
- **Strengths:** Monetizes the 95%+ of players who never pay. Low development cost per game, so it suits fast prototyping and high volume.
- **Weaknesses:** Revenue per user is low and depends on ad networks and user acquisition costs. Too many ads annoy players and hurt retention. Poor fit for immersive or premium-feeling games.
- **Best for:** Hyper-casual and casual mobile games with short sessions and very large audiences.

2.4 Subscriptions

Players pay a recurring fee for access to a game or a library of games, or for premium perks in one game.

- **Examples:** *World of Warcraft* (monthly sub), *Final Fantasy XIV*, Xbox Game Pass, Apple Arcade, PlayStation Plus, Netflix Games.
- **Strengths:** Predictable recurring revenue and strong lifetime value. Works well for content-rich, constantly updated games, and platforms can use libraries to drive hardware or ecosystem loyalty.
- **Weaknesses:** Players must feel ongoing value or they cancel. Pure subscription MMOs have lost ground to F2P, and library services often have to pay publishers large licensing fees.
- **Best for:** MMORPGs, content libraries on platforms, and games with a steady stream of new content.

2.5 Battle Passes and Seasonal Content

A battle pass is a paid (often with a free tier) track of rewards that players unlock by playing during a season, usually 2 to 3 months. It is a hybrid of subscription and IAP.

- **Examples:** *Fortnite*, *Call of Duty: Warzone*, *Apex Legends*, *Dota 2* (Battle Pass/Compendium).
- **Strengths:** Rewards engagement rather than just spending, gives predictable seasonal revenue, and creates a habit loop that brings players back. Players perceive it as good value.
- **Weaknesses:** Requires a steady supply of fresh content and can feel like a chore ("FOMO" pressure) if the progress is too grindy.
- **Best for:** Competitive multiplayer and live-service games with a core active community.

2.6 Cosmetic-Only Microtransactions

Players buy skins, emotes or visual items with no effect on gameplay power.

- **Examples:** *Fortnite* skins, *League of Legends* champion skins, *Counter-Strike 2* weapon skins, *Valorant*.
- **Strengths:** Seen as fair because it avoids "pay-to-win." Preserves competitive integrity while still earning large revenue. Skins can be tied to licensed IP (collaborations with movies, music and brands).
- **Weaknesses:** Needs a large, invested community that cares about self-expression. Art production costs are ongoing.
- **Best for:** Competitive multiplayer games, shooters, MOBAs and social platforms.

2.7 Gacha and Loot Boxes (Randomized Rewards)

Players spend currency to receive random items, often with rare characters or gear at low drop rates.

- **Examples:** *Genshin Impact*, *Honkai: Star Rail*, *Fate/Grand Order*, FIFA/EA FC Ultimate Team packs, *Diablo Immortal*.
- **Strengths:** Among the most profitable mechanics in the industry. It exploits collecting instincts and variable-reward psychology, and spending can be very high from a small group of players.
- **Weaknesses:** Heavily criticized and regulated (see Section 5). Brand and legal risk, and a reliance on a small share of heavy spenders.
- **Best for:** Collection-based RPGs, anime-style character games, and sports card games.

2.8 DLC and Expansions

Additional paid content released after launch, such as new story chapters, maps or characters.

- **Examples:** *The Witcher 3: Blood and Wine*, *Elden Ring: Shadow of the Erdtree*, *Cyberpunk 2077: Phantom Liberty*, *The Sims* expansion packs.
- **Strengths:** Extends a premium game's lifespan and revenue and rewards loyal fans. When done well it is well-received.
- **Weaknesses:** Can feel like withheld content if poorly handled, and requires a strong base game.
- **Best for:** Premium RPGs, simulation and strategy games with passionate communities.

2.9 Early Access and Crowdfunding

Players buy an unfinished game and help fund development, while the developer iterates based on feedback. Crowdfunding (Kickstarter) raises money before production.

- **Examples:** *Hades* (early access), *Slay the Spire*, *Valheim*, *Baldur's Gate 3* (early access), *Pillars of Eternity* (Kickstarter).
- **Strengths:** Funds development, builds community and gives feedback early.
- **Weaknesses:** Risk of abandonment or broken promises, and the audience may be wary after past failures.
- **Best for:** Indie developers and niche genres (roguelikes, survival, crafting, deep strategy).

2.10 Licensing, Sponsorships and Platform Deals

Games earn money through brand partnerships, esports sponsorships, in-game advertising or platform exclusivity payments.

- **Examples:** *Fortnite* concerts and brand collaborations, *Roblox* branded experiences, Epic Games Store exclusivity deals.
- **Best for:** Games with very large, engaged audiences.

3. Which Methods Fit Which Types of Games

Game type	Best-fit methods	Why
Hyper-casual mobile	Ads (rewarded and interstitial)	Huge audience, very short sessions, few players will ever pay
Casual puzzle (e.g. *Candy Crush*)	IAP (lives, boosters) plus ads	Players hit frustration points where a small purchase feels useful

Game type	Best-fit methods	Why
Mid-core mobile strategy / RPG	F2P with IAP, gacha, battle pass	Long progression and social competition justify heavy spending
Competitive multiplayer (shooter, MOBA)	Cosmetics, battle pass	Pay-to-win would destroy fairness, so cosmetics keep trust
MMORPG	Subscription or F2P plus cosmetics	Persistent world and constant content support recurring payment
Single-player story / action	Premium plus DLC	Players want a complete experience and accept a one-time price
Indie / niche	Premium, early access, crowdfunding	Small teams need upfront funding and community support
Sports games	Premium plus card packs (e.g. Ultimate Team)	Annual release plus a collectible economy
User-generated platforms (*Roblox*)	Virtual currency, creator revenue share	Ecosystem where creators and players both earn

The key principle is that **the monetization method has to match how players already behave in that genre.** Mobile players expect free games, so a premium price fails there. Console players expect complete games for a price, so aggressive paywalls provoke backlash. Competitive players resist anything that affects fairness, so cosmetics succeed where power purchases fail.

4. Which Methods Are the Most Profitable, and Why

4.1 The big picture

Free-to-play with in-app purchases is by far the largest revenue generator in the industry, particularly on mobile, which is the biggest gaming segment by revenue. A small percentage of players (often cited at around 2 to 5%) generate the majority of revenue in F2P games. Of those, a tiny group of "whales" can spend thousands of dollars per year.

4.2 Ranking by profit potential

1. Gacha / randomized-reward F2P (highest per-title earnings). Games like *Genshin Impact* have reportedly earned billions of dollars since launch. Reasons: (a) uncapped spending, because a player can pull repeatedly; (b) variable-reward psychology that encourages repeat purchase; (c) a collection and completion drive; (d) limited-time characters that create urgency. The drawback is regulatory and reputational risk.

2. F2P with cosmetics and battle pass (highest in sustainable, fair-feeling revenue). *Fortnite* and *League of Legends* have made billions from cosmetic sales. Reasons: massive player counts, high social visibility of items (others can see your skin), no pay-to-win backlash, and a content cadence that keeps the habit loop going. Seasonal passes add predictable revenue.

3. F2P with IAP in casual and mid-core mobile. *Candy Crush Saga* has consistently earned hundreds of millions of dollars per year and *Clash of Clans* has earned billions over its lifetime. Reasons: enormous reach, low-friction micro-purchases, and long game lifespans.

4. Premium blockbusters (highest per-unit and up-front revenue). Hits like *Elden Ring* and *Baldur's Gate 3* sell millions of copies at full price and make large profits relative to their budgets, but there are few of them and the risk is high. Revenue is mostly one-time, so they must repeatedly create new hits.

5. Subscriptions (stable, but rarely the top earner). *World of Warcraft* earned enormous revenue at its peak, but subscription-only models have shrunk in favour of hybrids. Library services like Game Pass bring recurring income to platforms but are heavily dependent on content investments.

6. Advertising (high volume, low margin per user). Ads can generate large combined revenue across portfolios of hyper-casual games, but income per user is small and subject to user acquisition costs, so profit margins are thin and volatile.

4.3 Why F2P outperforms premium at scale

- **Reach:** No price barrier means a much larger audience.
- **Price discrimination:** F2P lets each player pay what they are willing to, from nothing to thousands, while premium charges everyone the same fixed price.
- **Lifetime value:** A player can generate revenue for years, rather than once.
- **Data-driven optimization:** Live games constantly test pricing, offers and events to raise revenue.

The trade-off is that this model requires large live-operations teams, ongoing content, and heavy marketing spend, and it often only works for games that reach massive scale.

5. Risks, Ethics and Regulation

Profitability is not the whole story. Aggressive monetization carries real risks:

- **Regulation of loot boxes and gacha:** Belgium and the Netherlands have treated some loot boxes as gambling, China requires disclosure of drop rates, and other countries have introduced rules. In the US, the FTC reached a settlement of roughly $520 million with Epic Games in 2022 over privacy violations and deceptive purchase design ("dark patterns").
- **Player backlash:** *Star Wars Battlefront II* (2017) faced intense criticism for tying progression to loot boxes, forcing EA to pull back the system. *Diablo Immortal* (2022) was widely criticized for its pay-heavy progression.
- **Protecting minors:** Children spending large amounts, sometimes unintentionally, has led to refunds, lawsuits and platform rule changes.
- **Long-term trust:** Games perceived as "pay-to-win" tend to lose players. Fair monetization, such as cosmetics, builds more sustainable revenue.

6. Mini Case Studies

Fortnite (cosmetics and battle pass). A free game that earns revenue by selling skins, emotes and seasonal passes, not power. Frequent collaborations with major brands and musicians make items desirable and keep the game culturally relevant. The lesson: fair monetization combined with social visibility can scale enormously.

Genshin Impact (gacha, cross-platform F2P). Launched on mobile, PC and console at once to maximize reach, and monetizes through limited-time character banners and a battle pass. The lesson: a high-quality free game plus gacha can generate blockbuster-level revenue, but it relies on constant new content and invites regulatory scrutiny.

Candy Crush Saga (casual IAP and ads). Simple, level-based gameplay with limited lives and boosters, which creates natural small purchase moments. The lesson: casual games can earn huge totals through small, frequent purchases from a wide audience.

Baldur's Gate 3 (premium plus early access). Used early access to refine the game, then launched as a full-price premium product with no microtransactions. It won major awards and sold millions. The lesson: for quality-driven single-player RPGs, goodwill and a complete product can be more valuable than aggressive monetization.

Hyper-casual studios (ads). Studios release dozens of tiny games quickly, test which ones have low user acquisition costs and strong retention, and monetize with ads. The lesson: ads suit disposable, high-volume games, but margins depend heavily on marketing efficiency.

Part 2: Focus on Ads and In-App Purchases in Mobile Games

From this point on, the case study narrows to the two methods that dominate mobile: **advertising** and **in-app purchases (IAP)**. Part 2 first examines a very popular Indian mobile game that earns mainly through these two methods, then uses a developer guide from YouTube to explain how games can implement them effectively.

8. Case Study: Ludo King

8.1 Background

Ludo King, made by Gametion Technologies (Mumbai-based, founded by Vikash Jaiswal), is a digital version of the classic family board game. It is free to download and supports online multiplayer, play with friends and family, and play against the computer. It has been reported at over a billion installs, with India as its primary market: Sensor Tower data cited by the games-industry publication Naavik put India at nearly 80% of downloads and over 40% of net revenue.

Its revenue comes from two sources: rewarded and other video ads, and in-app purchases. The company reported roughly $20 million in revenue in 2020 and publicly aimed to grow that sharply by expanding IAP.

8.2 Revenue Mix: Ads First, IAP Growing

- **Early years:** In a 2020 interview, the company described its ads-to-IAP revenue split as roughly 80% to 20%.
- **Later in 2020:** The founder said only about 30% of revenue came from IAP, and that the company wanted to grow it, saying ads should not be the primary revenue source for a gaming platform.
- **More recent estimates:** Third-party tracker AppGoblin estimates a near-even split (about 52% IAP and 48% ads) for the Android version.

The takeaway: Ludo King began as an ad-led game, and has been trying to shift towards a more balanced mix over time.

8.3 How Ludo King Uses Ads

- **Rewarded video ads:** Players can watch ads in exchange for in-game items and bonuses. Naavik describes the system as player-friendly, with many chances to earn rewards.

- **Ads at natural breaks:** The founder said in a 2017 interview that ads are shown after a game ends rather than during play, to avoid frustrating users.
- **Ad technology optimization:** Google AdMob published a case study stating that Gametion's switch to AdMob bidding lifted overall revenue by about 15% and average revenue per daily active user (ARPDAU) by about 30%, and that implementation took roughly a day.

8.4 How Ludo King Uses In-App Purchases

- **Very low entry price points:** The smallest IAP pack in India is reported at 9 INR (about $0.11). Naavik highlights this as an important lesson for emerging markets: sub-dollar purchases and cheap starter packs are needed to convert price-sensitive users.
- **Cosmetic and social items:** Players can buy in-game currency and customization such as themes and dice, which do not break fairness in a game of chance and skill.
- **Lower IAP rank than download rank:** Despite its enormous player base, Naavik found Ludo King ranked only around No. 12 in IAP revenue in India and in the top 40 or so of grossing games, because the game prioritizes engagement and ad revenue over aggressive IAP.

8.5 Why This Model Works for Ludo King

1. **Genre fit:** Casual, short-session, family-friendly games attract huge audiences, but only a small share will pay, so ads monetize the majority.
2. **Market fit:** IAP conversion and ARPDAU are low in India, so Naavik argues ad monetization is essential for casual games there, with IAP added through low price points.
3. **Player-friendly design:** Rewarded ads let the player choose to engage, and showing ads after a match avoids interrupting play.
4. **Network effects:** Playing with friends and family drives organic growth, which lowers user acquisition cost.
5. **Localization:** Regional promotion, local festivals and local pricing keep the game relevant.

8.6 Limitations and Lessons

- Ad-heavy revenue is lower per user than IAP-heavy revenue, which is why the company has repeatedly said it wants to grow IAP.
- Ad income depends on ad networks and advertiser demand, so it can swing.
- A very high download count does not equal a very high revenue rank: Ludo King is a leader in installs but not in grossing.

9. Applying the Framework: How Games Can Implement Ads and IAP Effectively

9.1 Key Implementation Principles

Below are the principles drawn from the Ludo King case.

1. Build a fun game first, monetize second. Timing matters. Ludo King's simple, familiar gameplay keeps players coming back, and only then does it ask for attention (ads) or money (IAP).

2. Use two currencies deliberately. A soft currency that players can earn gives everyone a sense of progress, and a premium currency gives payers a quick way to speed up or customize. Rewarded ads are a natural bridge: they let non-payers earn soft currency while the developer earns ad revenue.

3. Make ads opt-in and well-timed. Rewarded video, where the player chooses to watch in return for a benefit, tends to be better received than forced ads. Place any forced ads at natural pauses, such as after a game, never in the middle of a turn.

4. Match pricing to the market. In India, low IAP conversion and ARPDAU mean low price points work. Ludo King's 9 INR pack shows that small purchases can still convert, building the habit of paying.

5. Let players sample before they buy. Free trials of boosts or cosmetics (through ads, daily rewards or starter bonuses) show value, which can lead to the first purchase.

6. Sell what players actually want. Customization, convenience and progression sell. In a game like Ludo, cosmetic and social items avoid unfairness.

7. Avoid the common mistakes. Showing ads too soon, showing too many, hiding the close button, pricing everything too high for the market, or letting payments feel mandatory all push players to uninstall.

8. Measure and iterate. Track retention, ARPDAU, conversion rate and ad performance. Gametion's AdMob bidding result is an example of tooling producing a measurable gain.

9.3 Implementation Checklist for Developers

- Decide the ads-to-IAP balance for your genre and market before you design the game.
- Create a soft and a hard currency, and decide how each is earned and spent.
- Delay the first ad and the first purchase prompt until after the player's first fun moment.
- Use rewarded video as the main ad format and test interstitial frequency carefully.
- Offer one or two very low-priced starter purchases, localized to regional prices.

- Give out free samples of premium items.
- Integrate ad mediation or bidding to raise ad income, and test it.
- Track retention first, then revenue metrics, and run A/B tests.
- Keep the game fair: do not sell advantages that make non-payers feel they cannot win.

10. Conclusion

Ludo King shows that a game does not need aggressive purchase mechanics to be a major commercial success. By combining a very large, free, social player base with player-friendly rewarded ads and very cheap IAP, it has turned one of the most familiar games in the world into a large mobile business. At the same time, its own leadership acknowledged that ads alone are not ideal and that IAP needs to grow, which shows why the most sustainable mobile games combine both methods. The principles discussed in the video (currencies, timing, ad placement, free samples, and learning from mistakes) are best seen as a toolkit to balance these two revenue streams without hurting the player experience.

Sources

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